

Practice Sheet
ALY6130 71690 Risk Management Analytics
Spring 2026

In_Class Activity

Activity Toolkit: The table below summarises main types of risks and selected KRIs under each.

Strategic	Operational	Management & Governance	Financial	Compliance
Market Risk. Technological Risk Reputation Risk. Mergers and Acquisitions Risk Market Share Volatility Customer Churn Rate Product Development Time Innovation Pipeline wellbeing	Downtime Metrics Error Rates Supplier Risk Employee Turnover Compliance Violations Supply Chain Disruption Cybersecurity Risk	Corporate Governance adherence to ethical standards Leadership Risk, Succession Planning Risk, Corporate Governance Risk, Ethical and Compliance Culture Risk	Debt-to-Equity Ratio Cash Flow Adequacy Profit Margin Liquidity Ratios Working Capital Trends- financial stand Credit Risk, Liquidity Risk, Interest Rate Risk, Currency Exchange Risk	Compliance Violations Legal Actions Data Security Breaches Regulatory Compliance Risk, Data Privacy and Security Compliance Risk, Anti-Money Laundering (AML) Risk, Environmental Compliance Risk

Activity One:

After reading one of the following articles, work on the following questions:

[Nippon Steel US Market Challenges: \\$15B Acquisition Losses](#), *Discovery Alert* (Nov 2025) and *Weil, Gotshal & Manges LLP* (July 2025)

[First Horizon Shares Fall More Than 40% After TD Bank Merger Fails](#), by Roush T. (2023) at Forbes.

- (1) Reflection on the type of this risk
- (2) What was wrong with the financial projection of this merger that the analytics couldn't lead to an optimal merger strategy?
- (3) How could data analytics predict this M&A risk and mitigate the failure to realize expected synergies in this merger (Hint: Look into KRIs in relation to this company, such as Culture clashes and variation in their underlying business models and customer types, performance level of the companies prior to the merger, antitrust issues, etc.).

Activity Two:

Use risk modelling techniques and tools for an Enterprise Risk Management (ERM) purpose of a company that is considering (1) a strategic expansion plan or, (2) adoption of new technology or (3) operating during an economic turbulence (choose one). Here:

- (1) Develop the Key Risk Indicators (KRIs) in relation to the business's people, processes, technology, facilities and other elements critical to its operations.
- (2) Use brainstorming techniques to discover and document potential risks. Based on this, create a SWOT analysis with a focus on Enterprise Risk Management (ERM) for the company's risk under consideration. Note here that you have to create a hypothetical scenario to log on to the internal and external factors of the company. Alternatively, you can consider a realistic case of a company with a similar consideration and potential risk you have chosen (see, for example, [US COMPANIES ON THE PATH TO GLOBAL EXPANSION](#) , [Alibaba aims to expand local business in Europe](#), [Walmart's new tech adoption strategies](#), [A 9-Point Plan For Climate-Smart Agriculture of RBC](#), etc.)
- (3) In preparation for the risk assessment and treatment, provide a preliminary list of the contributing factors and controls for the risks underlying the chosen business plan.